PSBs are not lending these days. If banks do not lend, why do they exist?

Consolidation of PSBs is No Reform

In all, the Government of India nationalized the twenty largest private banks: fourteen in 1969 with deposits of over Rs 50 crore and six in 1980 with deposits of Rs 200 crore. One of the nationalized banks, the New Bank of India, was merged with Punjab National Bank in 1993. IDBI Bank (promoted by IDBI in 1994, in which IDBI itself merged later in 2002) was the twentieth government-owned bank. IDBI Bank was 'privatized' by the government selling a majority stake to LIC. The remaining nineteen nationalized banks were categorized as nationalized banks/PSBs until 2017.

SBI was incorporated in 1955. The entire undertaking of the Imperial Bank, which was the mega government-controlled bank from the nineteenth century and in which quite a few other banks promoted by different principalities were merged from time to time, was transferred to SBI in the 1950s. After merger of all its subsidiaries, SBI is one of the twenty PSBs.

The government has been consolidating the twenty PSBs by merging them. Vijaya Bank and Dena Bank were merged with Bank of Baroda in 2019. In 2020, Oriental Bank of Commerce and United Bank of India were merged with Punjab National Bank. Allahabad Bank was merged with Indian Bank. Syndicate Bank was merged with Canara Bank. Andhra Bank and Corporation Bank were merged with the Union Bank of India. Thirteen PSBs thus stand consolidated in five banks: Bank of Baroda, Punjab National Bank, Canara Bank, Union Bank and Indian Bank. Besides SBI, these PSBs are relatively bigger banks.

There are six smaller PSBs as well: Central Bank of India, Indian Overseas Bank, Punjab and Sind Bank, UCO Bank, Bank of Maharashtra and Bank of India. In terms of size of business (credit plus deposit put together), these six banks together had an aggregate business of Rs 24.68